ZESA HOLDINGS (PRIVATE) LIMITED
versus
TERRIFIC TECH (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUSHURE J
HARARE; 13 May 2025, 16 January & 20 April 2026

Opposed application to set aside an order by consent

R. F. Mushoriwa for the applicant
T. L. Biti for the respondent

MUSHURE J:

INTRODUCTION

[1] On 13 May 2025, after hearing arguments in this matter, and from engagements with counsel, it seemed an amicable settlement was possible. I granted the parties leave to further engage and revert to me by not later than close of business on 27 May 2025 with an update on the outcome of their deliberations. They did not. On 28 May 2025, applicant's counsel wrote a letter to the Registrar advising that the parties had extensively reviewed options for possible settlement but an agreement was yet to be achieved. The applicant's counsel requested, on behalf of both parties, for a further two-week extension, until 13 June 2025, to update the court on the parties' final position. I granted the request but directed that the communication be made by not later than 16 June 2025, failing which the matter would be removed from the roll. There was no communication on 13 June 2025 as undertaken. Neither was there any communication on 16 June 2025. On 17 June 2025, I removed the matter from the roll pending the update from the parties.

[2] The removal of the matter from the roll seems to have jolted the applicant into action, because on that very afternoon, its counsel wrote a letter indicating that the parties had

failed to reach an agreement, and requesting me to hand down judgment. Unfortunately, by the time the letter was written, the matter had already been removed from my IECMS portal and the effect was that I no longer had any access to this matter. On 12 December 2025, the respondent wrote a letter inquiring as to when judgment would be available. That letter, regrettably, was not brought to my attention and because the matter was no longer in my portal, I was unaware of all these correspondences. It was only on 16 January 2026 that the Registrar noticed that I was no longer linked to the matter and brought to my attention the 12 December 2025 letter. I directed that I be linked to the matter so that I could access the correspondence, the contents of which I then became aware of. Following the parties' request, I now proceed to determine this matter.

BACKGROUND

[3] In this application, the applicant seeks an order setting aside an order by consent granted by this court. Although the applicant avers that the order was granted on 30 October 2024, it was in fact granted on 9 August 2024, and the parties were duly advised of its availability on the same day. The applicant submits that the court has jurisdiction to hear the matter in terms of rule 21 (2) of the High Court Rules, 2021, s176 of the Constitution of Zimbabwe and common law.

[4] The facts of this matter are largely common cause and can be summarised as follows. On or about 18 July 2023, the parties entered into a 12-month contract in terms of which the respondent would supply the applicant with Microsoft software licences worth US$1 616 832.14. On 24 July 2023, the respondent delivered six licences to the applicant. The total contract price was required to be made within 30 days after delivery of the licences. However, the applicant only paid US$106 000 towards the contract price. After futile attempts to recover the balance, the respondent sued summons out of this court under HCHC28/24, claiming payment by the applicant of US$1 532 558, being the balance of the contract price.

[5] The defendant entered appearance to defend the action. The defendant also excepted to the summons and declaration and filed a special plea, both of which were set down for hearing on 14 May 2024, upon which they were withdrawn. From the record, the matter was set

down for several case management meetings which culminated in a deed of settlement and a draft consent order filed with the court on 9 July 2024.

[6] Among other issues, the deed of settlement recorded the applicant's acceptance of its indebtedness to the respondent in the sum of US$1 532 558.18 together with interest with effect from 28 November 2023. The deed further recorded that the applicant would pay the capital amount in six monthly instalments of US$255 436.36 from 31 July 2024 to 30 December 2024, and that upon payment of US$510 852.72, the respondent would restore the applicant's Microsoft licences which would run for a period of 11 months from 1 September 2024 to 30 July 2025. The deed also recorded that the applicant had the right to elect to pay any such instalment in local currency at the prevailing official rate on the date of payment. As already alluded to, the order by consent was granted on 9 August 2024 by MANZUNZU J.

[7] Pursuant to the settlement and on 29 July 2024, the applicant paid to the respondent ZiG 3 372 077.64. This was followed by another payment of ZiG 3 369 681.54 on 9 August 2024 and of ZiG 3 387 579.54 on 30 August 2024. On 3 September 2024, the respondent's legal practitioners wrote a letter to the applicant's legal practitioners, stating that the respondent was facing serious challenges in converting the ZiG amounts to United States dollars to enable it to remit the amounts to Microsoft, the principal supplier of the software. The respondent requested to supply licences worth US$20 000. The letter also requested the applicant's legal practitioners to approach its client so that they could have a meeting to discuss the applicant honouring the agreement through payment in United States dollars.

[8] By a letter dated 18 September 2024, the applicant's counsel indicated that the request could not be acceded to because the applicant could not pay in United States dollars and further that the respondent had made representations to this court and the applicants that full payments had been made to Microsoft. The applicants rejected the proposal to supply the US$20 000 worth licences and requested the respondent to reactivate the Microsoft licences for the 11 months in terms of the deed of settlement. This request was not heeded by the respondent and the parties continued exchanging correspondences, until such a time that the respondent wrote a letter to the applicant on 9 December 2024 stating that the applicant had breached the terms of the deed of settlement by not paying payments that

were due in October, November and December 2024 and called upon the applicant to rectify that 'default'.

[9] On 30 December 2024, the applicant filed an application to set aside the order by consent under HCHC860/24. The applicant avers that it withdrew the application upon realising that a wrong form had been used and an incorrect rule, cited in making the application. The applicant then launched this application seeking the following Order:

1. The termination of the deed of settlement be and is hereby confirmed.
2. The Order by consent dated 30th of October 2024 be and is hereby set aside.
3. Respondent is to pay Applicant's costs of suit on a higher scale of attorney and client

[10] The application has been strenuously opposed by the respondent, who argues, in *limine*, that case HCHC860/24 is still pending because there has been no resolution on the question of costs. The respondent also argues that it filed a counter-application under HCHC860/24 and the applicant should have amended its pleadings, instead of launching a fresh application altogether, to avoid a multiplicity of pleadings. It argues, further, that the application is predicated on the wrong law as it should have stated the particular rule in terms of which the applicant is making its application, rather than citing r21 (2) of the High Court Rules, 2021, the Constitution and common law. Further, the respondent argues that under HCHC860/24, it objected to reliance on r19 (2) of the High Court (Commercial Division) Rules, 2020 in making this application and suggested that instead, the applicant should have relied on r21 (2) because the application had been made at the doors of a trial. The respondent now contends that the current application should have been made within 30 days of the Order in line with the rules relating to rescission of a default judgment.

[11] On the merits, the central issue arising from the respondent's opposition is that it has failed to secure foreign currency to procure the licences and the deed of settlement should be amended so that payment is exclusively in United States dollars. The respondent has also filed a counter-application seeking the following relief:

> "Paragraph 2 of the deed of settlement executed by the parties on the 4th of July 2024 and filed with this Honourable Court on the 9th of July 2024 be and is hereby amended in paragraph 2 by the replacement with a new paragraph which reads as follows;
>
> > "Defendant shall pay the capital amount above in six equal instalments commencing on the 31st of July 2024. All such payments shall be in United States dollars only."'

[12] The respondent bases its counter-application on that, firstly, in the original agreement, the applicant was obliged to pay the entire contract price in United States dollars only.

Secondly, the prevailing market conditions have made it difficult if not impossible for the respondent to access any United States dollars from its bank or any platform offered by the authorities. Thirdly, it would be against the public interest of Zimbabwe for the applicant to be asked to honour the agreement in local currency because the respondent would be unable to honour its obligation as it has to acquire and pay the licences in United States dollars. Fourthly, the applicant would be unjustly enriched if it has to settle its obligation in local currency when it was originally obliged to do so in United States dollars and if it is allowed to withdraw from the deed of settlement on the basis of the respondent's non-performance. The respondent also makes the point that it filed a counter application in the previous proceedings that the applicant sought to withdraw so it has filed this counter application because they indeed have a counter-application but 'the applicant has created this mess'.

[13] In opposing the counter application, the applicant contends that the application is *lis pendens* as there is another application pending under HCHC860/24. On the merits, the applicants argue that the courts do not have the power to rewrite a contract entered into between the parties, and that a court cannot exonerate a party from a contract that it entered into voluntarily, even if the terms of the contract are shown to be onerous or oppressive. It argues that the agreement has always been that the Applicant settles its obligations in local currency, therefore the respondent's counter application should be dismissed with costs on a higher scale for want of merit.

SUBMISSIONS BY COUNSEL

[14] At the hearing of the matter, Mr *Mushoriwa,* appearing for the applicant, submitted that the order by consent created reciprocal obligations and that the applicant, in compliance with those obligations, had already paid three instalments. The respondent's legal practitioners had authored a letter showing that the respondent is incapable of performing its end of the bargain. He submitted that the reasonable approach would have been for the parties to agree to set aside the order by consent but then the respondent had proceeded to demand payment, leaving the applicant exposed to a potential execution in favour of a party who, even if it was paid, had stated that it was unable to perform.

[15] Mr *Mushoriwa* submitted, further, that the application had been made in terms of r21 (2) of the High Court Rules, 2021. He submitted that the mention of the Constitution and common law was meant to demonstrate the court's jurisdiction in terms of the Constitution, the rules and common law.

[16] It was his submission that the sole factor to be considered was whether or not there was good and sufficient cause to set aside the order by consent. He contended that there was no better cause to set aside the order than the fact that none of the parties was able to discharge the order by consent. He insisted that the application under HCHC860/24 stood withdrawn and a tender of costs was sufficient. Mr *Mushoriwa* contended that the withdrawal had not been rejected at the time it was made, the issue only arose in the opposing papers in respect of this matter and it was a stratagem to avoid the matter being argued. The respondent ought to have caused the costs to be taxed.

[17] On the counter-application, he submitted that what the respondent was asking the court to do was to rewrite a contract for the parties. This was not possible.

[18] In opposition, Mr *Biti*, for the respondent, argued that paragraph 6 of the applicant's founding affidavit was clear that the applicant averred that the court had jurisdiction to entertain the present application on one or more of the grounds listed therein namely rule 21 (2) of the High Court Rules, s176 of the Constitution and common law. Mr *Biti* contended that r21 (2) did not apply because that rule provides for the setting aside of an order by consent on a good and sufficient basis. To him, the order by consent could not be set aside because it was *perfecta*, and there was nothing wrong with it but what could be set aside was execution.

[19] He submitted that both parties accepted that the deed of settlement was a contract and the order by consent was a consequence of the deed which could only be set aside on the grounds of *Justus* error, misrepresentation and fraud, among others. He submitted that challenges did not affect the legitimacy of the deed of settlement so the applicant had proceeded on the wrong cause of action.

[20] Mr *Biti* submitted that HCHC860/24 was pending. He submitted, further, that the applicant withdrew its application but the counterclaim had not been withdrawn.

[21] He contended that the applicant fragrantly breached the terms of the original agreement which was in United States dollars. The respondent, through multiple correspondences, had told the applicant that it could not access United States dollars and called upon the applicant to pay in United States dollars. He contended, further, that in the interests of justice and equity, the original contract must be restored so that it could be performed. He argued that the applicant had not pleaded that it could not pay in United States dollars, but that it had paid them. He questioned the exchange rate the applicant had used to convert the three instalments to US$800 000. He submitted that the payment had been in ZiG which had subsequently been devalued. He stated that the respondent found itself in a position where it could not perform, not because it did not want to but because the applicant had put it in that position by breaching the original agreement. He urged the court to take judicial notice of the market.

[22] On the issue of taxation of the respondent's costs, it was Mr *Biti*'s submission that there was no United States dollars denominated statute for legal practitioners. He submitted, finally, that the parties should have had discussions to settle the matter because setting aside the deed had the effect of postponing the matter, not resolving the real dispute between the parties.

[23] In reply, Mr *Mushoriwa* submitted that the applicant had never admitted that it breached the original agreement. If the respondent could not provide the licences and the applicant's position was that government policy was that government institutions cannot pay in United States dollars then there was a stalemate. In any event, there was never an agreement that the original contract be settled in United States dollars.

ISSUES FOR DETERMINATION

[24] *Gwaradzimba N.O* v *C J Petron and Co (Pty) Ltd* 2016 (1) ZLR 28 (S), at p 32 B, is authority for the proposition that a court must generally determine all the issues raised by the parties "unless the issue so determined can put the whole matter to rest". In respect of the main application, although the respondent raised several points in *limine*, after considering the pleadings filed of record, the heads of arguments and the oral submissions

before this court, I take the robust view that one issue must be determined first as it is dispositive of the matter. The issue is: -

1. Whether or not the application is predicated on the wrong law.

[25] In respect of the counter-application, it seems to me that the following issues fall for determination: -

2. Whether or not the counter-application is *lis pendens* and
3. Whether or not the respondent is entitled to the relief sought in the counter-application.

WHETHER OR NOT THE APPLICATION IS PREDICATED ON THE WRONG LAW

[26] The effect of failure to cite the relevant provision of the law under which an application is made is now settled law. In *Minister of Mines and Mining Development & Anor* v *Fidelity Printers & Refiners (Pvt) Ltd & Anor* CCZ-9-22 the court was seized with a cojoined application for condonation for the late filing of an application for leave to appeal and an application for leave to appeal in terms of r5 as read with r32 of the then Constitutional Court Rules, 2016. An issue arose following the applicants' reliance on r 5 as the enabling law for an approach to the Court to seek condonation.

[27] Finding that the applicants had relied on the incorrect rule, the Court made the following pertinent observations on at p13-14 of the cyclostyled judgment:

> "*Basing their application on an incorrect rule renders their application fatally defective*. The rules of this Court expressly dictate the procedure to be followed in applications of this nature. The importance of citing the rule on which an application is based was adequately articulated in *Bushu v Grain Marketing Board* HH 326/17, wherein the court noted that:
>
> > "However, in practice, any astute legal practitioner making an application in terms of a statutory provision including a rule of court is expected to indicate the rule or provision concerned. The need to cite the relevant provision of the law under which the application is made, where applicable, of course, cannot be overemphasized. The citation of the correct and relevant provision attunes the court to its jurisdiction and the judge or court as the case may be immediately opens up to the provision and, if need be, researches on the provision if it is not one that immediately comes to mind."
>
> It must be emphasised that litigants must proceed in terms of the relevant rule as that is what informs the respondent and the court as to the nature of the application and the relief sought. It is the rule that delineates the processes to be followed by the parties and the time frames demanded for each process……

> The court's rules regulate access to this or any other court. The need to pay regard to the rules when instituting proceedings was emphasised in *Mupungu v Minister of Justice, Legal and Parliamentary Affairs* CCZ 07/21, where this court stated that:
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> > "One cannot institute an action or application in the High Court, or any other court, without due observance of and compliance with the Rules of that court. The Rules inform a litigant of what is required of him to access the court concerned. If he fails to observe or comply with those Rules, he will inevitably be non-suited. *To conclude this aspect of the matter, I am satisfied that the proceedings a quo were fatally defective and constitute a nullity for failure to comply with r 18 of the High Court Rules*…." [Emphasis own]

[28] It is common cause that the applicant initially made this application under HCHC806/24 in terms of r19 (6) of the High Court (Commercial Division) Rules. In opposing the application, the respondent argued that the judgment in HCHC28/24 had not been granted at a pre-trial conference but when the matter was set down for trial. The respondent further argued that the deed of settlement was not obtained in the context of a pre-trial conference therefore r19 (6) did not apply. Instead, the respondent contended, the application ought to have been made in terms of r21 (2) of the High Court Rules.

[29] For some unexplained reason, the applicant obliged the respondent and filed the current application purportedly in terms of the said r21 (2). In making this application, the applicant averred that the court has jurisdiction in terms of r21 (2), s176 of the Constitution of Zimbabwe and common law. The respondent maximised on this to argue that the applicant has not nailed its application to the mast by stating the specific law in terms of which the application is made. At the hearing of the matter, Mr *Biti*, for the first time, added on the dimension that the applicant had proceeded on a wrong cause of action.

[30] It seems to me that the applicant has been taken on a wild goose chase by the respondent. If the applicant had properly read the provisions of r19 (6) in the context of r19 (1), r19(2) and r19(5) as well as the circumstances of the cause under HCHC28/24, I am positive it would not have obliged the respondent as it did to its detriment.

[31] Rule 19 (1) of the High Court (Commercial Division) Rules provides that:

> (1) Notwithstanding Rules 16, 17 or 18 above, at any time before any case is tried, the judge may direct parties to attend a pre- trial case management hearing to deal with any matters or issues arising in the suit or proceedings.

[32] In my view, Rule 19 (1) is couched in clear language. It admits of no doubt. It simply means what it says. The judge is empowered by r19(1), at any time before a case is tried, to direct the parties to attend a pre-trial case management hearing to deal with any matters

arising in a suit or proceedings. I do not read r19 (1) to preclude a judge from holding a pre-trial case management hearing on the basis that a matter has been set down for trial. As long as that case has not been tried, a judge can direct the parties to attend a pre-trial case management hearing. That hearing remains a pre-trial case management hearing or conference. It does not assume any other species.

[33] Even assuming that an order by consent in a matter set down for trial cannot be set aside on the basis of r19 (6), the circumstances of this matter do not suggest that HCHC28/24 had already been set down for trial. The notice of set down, dated 10 April 2024, that the respondent relies on does not speak to the matter having been set down for trial. It simply states that

> "Take notice that the above Summons Commencing Action will be heard and determined by the HIGH COURT OF ZIMBABWE COMMERCIAL DIVISION at HARARE on Tuesday, the 14th of May 2024 at 10:00 or so soon thereafter as counsel may be heard."

[34] Where the respondent got the notion that this notice speaks to the matter being set down for trial remains a mystery. However, on the 14th of May 2024, the court issued an order to the following effect:

> "The exception and special plea be and are hereby withdrawn by the defendant with costs on the ordinary scale."

[35] Following this Order, the Registrar issued another notice of set down on 16 May 2024, couched in exactly the same terms as the 10 April 2024, to the effect that the matter would be heard on 27 May 2024. At the 27 May 2024 hearing, the court issued the following Order:

1. The parties shall meet on 13 June 2024 at a mutually convenient time and place to discuss the possibility of an amicable settlement of all or any of the matters in dispute.
2. If no settlement is reached, the parties shall, among other things, identify issues for trial and the Plaintiff shall file the minutes of their meeting on 14 June 2024.
3. In the event that the parties manage to reach a settlement, they shall draw a Deed of Settlement and draft consent order and file the same on 18 June 2024.
4. If no settlement is reached, another case management conference will be held on 19 June 2024 at 10am.
5. Costs shall be in the cause."

[36] Two issues arise from this Order. First, the issues for trial had not even been identified, so it cannot be correct that the matter was set down for trial in the 10 April 2024 notice. Secondly, paragraph 4 of the Order is clear that if no settlement was reached, another case management conference would be held, so the matter was still very much at the case management stage.

[37] Pursuant to the order that another case management conference would be held on 19 June 2024 if the parties did not settle, the Registrar issued another notice of set down on 24 June 2024, couched in similar terms as the 10 April and 16 May 2024 notices, setting down the matter for 25 June 2024. On 25 June 2024, the court ordered that

> "The parties shall further engage with the object to amicably settle the dispute and thereafter on or before 5 July 2024, file either a deed of settlement and draft consent order or minutes of their meeting identifying issued for trial."

[38] I have already alluded to the fact that it is on 9 July 2024 that the parties filed a deed of settlement and draft order by consent. The facts of this matter as outlined above do not support that the matter had been set down for trial and even if they did, I have already noted that r19 (1) permits the holding of a pre-trial case management hearing at any time before a case is tried. From my analysis, the several case management meetings were held in the context of r19 (2) of the Rules, which empowers a judge to consider the possibility of a settlement of all or any of the issues in the suit.

[39] Accepting as I must that the settlement under HCHC28/24 was granted in the context of a pre-trial case management conference, the order by the court was made in the context of r19 (5) of the Rules which provides that:

> "(5) The judge may at any time during a pre-trial case management conference where the parties are agreeable to a settlement of some or all of the matters in dispute in the suit or proceedings, record such agreement as an order of court or where the matter is settled in full, enter judgment in the suit or proceedings or make such other order to give effect to the settlement as may be required."

[40] When the applicant realised that the order by consent ought to be set aside, the appropriate rule in terms of which it ought to have proceeded was r19 (6) which provides that:

> (6) An order by consent issued under sub rule (5) shall not be set aside save in exceptional circumstances and on good and sufficient cause shown and the provisions of Rule 15 shall apply to the extent possible.

[41] The application of r21 (2) of the High Court Rules could have only been triggered through r4 (2) of the High Court (Commercial Division) Rules if the procedural matter was not specifically provided for under the rules of this Division. In my view, the application of rule 21 (2) of the High Court Rules as read with r4(2) of the High Court (Commercial Division) Rules has not been triggered in this matter. Rule 4 (1) of this Division's Rules is clear that the rules shall, unless expressly provided otherwise, apply to all commercial

disputes brought before the Commercial Division of the High Court. In my analysis, while the respondent's preliminary point that the applicant's application is predicated on the wrong law is correct to an extent, it is not for the reason that the applicant relied on r21 (2) of the High Court Rules, r176 of the Constitution and the common law, but for the reason that r21 (2) is not applicable in the circumstances.

[42] In *Minister of Mines and Mining Development & Anor* v *Fidelity Printers & Refiners (Pvt) Ltd & Anor supra*, the court concluded that

> "It would be futile for this Court to proceed to determine the preliminary point raised by the first respondent. Before this Court can consider the contents of this application, it must be satisfied that a valid application is before it. This application is not; it must be therefore struck off the roll."

[43] In determining this application, I am guided by the approach adopted by the Constitutional Court in that matter. I find that before I can consider the other preliminary points, there must be a valid application before me in the first place. There is none.

[44] As to the fate of the counter application, the provisions of r4 (2) of the High Court Commercial Division Rules, as read with r58 (10) of the High Court Rules are clear. Rule 58 (10) permits me to proceed with the counter application even if the main application has been struck off the roll.

WHETHER OR NOT THE COUNTER-APPLICATION IS *LIS PENDENS*

[45] There are four requirements for a successful reliance on the plea of *lis pendens*. The respondent has to show that there is a pending suit, that the suit is between the same parties, that it concerns the same cause of action and that the same relief is sought in both suits. The plea is based on the proposition that the dispute between the parties is being litigated elsewhere and therefore it is inappropriate for it to be litigated in the court in which the plea is raised: *Tarinda* v *Cake Fairy (Pvt) Ltd & Anor* 2020 (1) ZLR 427 (H).

[46] The policy underpinning the plea is that once a suit has been instituted, it should ideally be finalized before that court before another suit can be instituted by the same parties relating to the same cause of action. This is also done to avoid a potentially embarrassing situation where a court gives two conflicting pronouncements to the same matter, albeit in different sittings.

[47] In *casu*, it is common cause that while the main application under HCHC860/24 stands withdrawn, the counter application was not withdrawn so that suit is pending. The suit is between the same parties, and it concerns the same cause of action, namely the amendment of the deed of settlement entered into by and between the parties under HCHC28/24. In the counter application under HCHC860/24, the respondent was seeking exactly the same relief, word for word, as the relief it seeks in this suit.

[48] *Prima facie*, the requirements for a successful reliance on the plea of *lis pendens* are satisfied. However, I remain alive to the fact that the principle guiding the courts is not that of first come, first adjudicated but in coming up with a decision whether or not to stay proceedings pending the determination of the other, the court must pay due regard to all the relevant circumstances of the case. The court is guided by considerations of fairness and convenience: *Chipunza* v *Mashingaidze* 2019 (3) ZLR 961 (S)).

[49] I am also alive to the position of the law that in proper cases, a court can ignore the existence of the plea in the interests of justice and where the balance of convenience favours that the matter should proceed: *Chizura* v *Chiweshe* 2003 (2) ZLR 64 (H).

[50] In my view, nothing precluded the respondent from prosecuting its counter application under HCHC860/24 to its logical conclusion, yet the respondent now argues that it finds itself in this 'mess' because the applicant withdrew its matter under HCHC860/24. It justifies filing a counter application in this matter because the other application was withdrawn. That argument in my view is not only misplaced but disingenuous.

[51] I have not heard the parties to argue that pleadings in the counter application under HCHC860/24 closed and the matter is ready for set down. In this matter, the parties filed all the necessary pleadings, set down the matter and argued the matter before me. The matter has been dragging on since July 2023. Ruling that the matter be stayed and the counter application continues under HCHC860/24 will, in my view, not only delay justice in this matter but be inimical to the expeditious resolution of commercial disputes

[52] I therefore conclude that the balance of convenience favours that the matter should proceed in the interests of justice. On the authority of *Chizura* v *Chiweshe supra* I will therefore ignore that the matter is *lis pendens* and proceed to determine the counter application on the merits.

WHETHER OR NOT THE RESPONDENT IS ENTITLED TO THE RELIEF IT SEEKS IN THE COUNTER-APPLICATION

[53] The respondent petitions this court to amend the deed of settlement it entered into with the applicant. The essence of its argument is that it wants to revert to the terms of the original contract between the parties in terms of which the applicant was obliged to perform the contract in United States dollar terms. I find the respondent's argument untenable for four reasons.

[54] Firstly, by entering into a deed of settlement, the parties entered into a compromise agreement. The effect of a compromise is to replace the disputed obligations with the obligations created by the settlement: RH Christie in *Business Law in Zimbabwe* 1st edn, Juta & Co Ltd, Cape Town, 1998at p. 108 & *Georgias and Anor* v *Standard Chartered Bank* 1998 (2) ZLR 488 at 496D-H.

[55] The respondent cannot seek to revert to the original contract by amending the deed of settlement. In *Victoria Foods (Pvt) Ltd* v *Investments (Pvt) Ltd and Anor* HH 175-12 at p 2-3 this court held that:

> "According to Farlam & Hathaway "A Case Book on the *South African Law of Contract*" at p 334:
>
> > "A compromise agreement, once entered into, precludes an action on the original debt, except where the compromise specifically and by clear implication provides that the original claim shall revive in the event of the non-performance of the terms of the compromise."

[56] Put differently, once a compromise is entered into, the cause of action that one had prior the conclusion of the deed of settlement is discharged. Essentially, the deed of settlement becomes the new cause of action unless stated otherwise. The compromise agreement has the effect of rendering the original cause of action *res judicata*, as it were, thereby creating new obligations: See generally *Golden Beams Development (Pvt) Ltd* v *Mabhena* HH–296-21.

[57] Secondly, it is not correct that the original contract was pegged strictly in United States dollars. Clause 3.1 of the agreement is instructive:

> "The parties hereby agree that the total contract price for the Provision of Microsoft Licenses shall be One Million Six Hundred and Sixteen Thousand Eight Hundred and Thirty-Two United States Dollars and Fourteen Cents (1,616,832.14) Including VAT

> payable in Zimbabwean Dollars (ZWL) at the prevailing RBZ Exchange rate on the day of invoice in line with Exchange Control Regulations"

[58] The wording of clause 3.1 is clear and unambiguous, the parties agreed that the contract price could be paid in Zimbabwean Dollars at the prevailing Reserve Bank of Zimbabwe Exchange rate. That clause 3.2. of the contract states that 'The USD Contract Price shall be held firm during the duration of this Agreement' is a guarantee that the contract price cannot be altered to another currency, and it does not detract from the fact that although pegged in United States dollars, the contract price can be settled in local currency. Mr *Biti*'s argument is therefore based on an erroneous premises.

[59] Thirdly, the trite position of the law is that courts ought to give effect to the contracts of the parties. Our courts have consistently upheld the salutary practice of upholding the freedom to contract lawfully. This notion, which has stood the test of time, is embodied in the principle of sanctity of contracts. A court will not excuse a party from the consequences of a contract simply because the other party finds the terms oppressive or onerous, as long as that party entered into the contract freely, voluntarily and with their eyes wide open: See *Magodora & Ors* v *Care International Zimbabwe* 2014 (1) ZLR 397 (S) at 403C-D.

[60] In its heads of argument, the respondent submits that the court has the power to rewrite a contract. That submission flies in the face of the established principle of the law that once the parties have contracted, it is not open to the courts to rewrite the contract they have entered into: *Grandwell Holdings (Pvt) Ltd* v *Zimbabwe Mining Development Corporation & Ors* 2020 (1) ZLR 108 (S). What the respondent is seeking to do is for the court to rewrite the contract it voluntarily entered into with the applicant with its eyes wide open. This is what has been specifically proscribed in a long line of cases and restated in *Grandwell Holdings supra.*

[61] Fourthly and finally, the respondent's argument is that given the current economic climate and the unavailability of United States dollars, due to supervening impossibilities it is imperative that the court alters the terms of the Deed of Settlement. Mr *Biti* has urged this court to take judicial notice of the market realities. In *Chiraga* v *Msimuko* 2002 (2) ZLR 368 (H) at 377C-E, it was held that a shortage of foreign currency does not constitute an absolute supervening impossibility. The court stated that: -

> "I would not be within the narrow confines of the application of the doctrine of judicial notice if I were to take judicial notice of the fact of the acute shortage of foreign currency in this country. No evidence was placed before me that that is the position. In a matter such as the present, the court must accept the superior authority of the Executive and should not take judicial notice of facts which are properly within the sphere of the Executive. If there is an acute shortage of foreign currency, it is for the Executive to say so. The Minister of Finance and Economic Development should have been requested to issue a certificate to that effect. There is, in addition, no official statement from the Reserve Bank of Zimbabwe that that is the position. It may adversely affect the economic well-being of this country if this Court were to take judicial notice of the alleged acute shortage of foreign currency without the Executive providing an official statement or certificate to that effect. The pronouncement by the court may well reduce the confidence of those who transact business with this country."

[62] I also find the dictum in *Ngorima & Anor* v *Chemhere* 2021 (1) ZLR 260 (H) to the effect that impossibility is not in change of financial strength or in commercial circumstances which cause compliance with contractual obligations to be difficult, expensive or unaffordable very persuasive. In that matter, the court went on to remark that deteriorations of that nature are foreseeable in the business world at the time when the contract is concluded.

[63] On the authority of *Firstel Cellular (Private) Limited* v *Netone Cellular (Private) Limited* 2015 (1) ZLR 94 (S) at 96A-B, for a party to plead supervening impossibility, the following must be given regard to;

> "Again, the contract must have become finally and completely impossible of performance as opposed to the situation where one party is only temporarily disabled from fulfilling its obligations."

[64] Turning to the facts of this case, the respondent submits that on 6 September 2024, the central bank responded to its letter seeking assistance in converting the amounts paid by the applicant to United States dollars advising that the central bank was unable to assist but the respondent could approach its bankers for accommodation on the interbank foreign exchange market under Willing Buyer Willing Seller platform. That response has not been placed before the court. Neither has the respondent advised the court if it followed through the advice from the Reserve Bank of Zimbabwe and if it did, with what outcome. In the result, the court finds that the respondent has not made a case that the contract has become finally and completely impossible of performance entitling it to the relief that it seeks.

DISPOSITION

[65] In view of the foregoing reasons, the main application is fatally defective and must be struck off the roll. The counter application has no merit and must be dismissed. Regarding costs, given that none of the parties has been successful, I am of the view that an order that each party bears its own costs would be most equitable in the matter.

ORDER

[66] In the result, it is ordered that

1. The main application be and is hereby struck off the roll.
2. The counter application be and is hereby dismissed.

3. Each party shall bear its own costs.

MUSHURE J:……..

Mushoriwa Moyo, applicant's legal practitioners
Tendai Biti Law, respondent's legal practitioners